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Determinants of youth unemployment: An integrated conceptual framework of skills mismatch

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Abstract

Youth unemployment is shaped by more than the attributes of individual jobseekers. In emerging economies, employment transitions also depend on the inclusiveness of structural change, migration and demographic pressures, and the task reorganization induced by digital technologies. Yet these influences are commonly examined separately, leaving the mechanism that connects them to joblessness insufficiently specified. This conceptual paper develops an integrated framework in which skills mismatch is the proximal mechanism through which five domains affect youth unemployment, including labor-market readiness, inclusive economic development, migration pressure, demographic pressure, and technological replacement. Drawing on human capital theory, search and matching theory, and task-based accounts of technological change, the paper advances eleven directional propositions and one integrative mediation proposition. The framework distinguishes labor-market readiness from credentials alone; it treats economic development as employment-relevant only when growth expands accessible, skill-appropriate opportunities; and it conceptualizes migration, population, and technology as contextual forces that may intensify mismatch when institutions do not adapt. The paper makes three contributions. First, it shifts attention from a list of correlates to a mechanism-centred explanation. Second, it integrates micro-level and structural antecedents without claiming causal estimates. Third, it provides a transparent research agenda for future multi-level and longitudinal tests, including measurement, boundary conditions, and analytical designs. For policy, the framework highlights coordinated action across education and

training, labor-market intermediation, regional development, and technology-transition governance.

Keywords: Youth Unemployment, Skills Mismatch, Labor-Market Readiness, Migration, Technological Change, Conceptual Framework.

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INTRODUCTION

Youth unemployment remains a persistent policy and research concern because early labor-market exclusion can leave durable scars. Evidence from several labor markets shows that unemployment at the beginning of working life is associated with later wage penalties and weaker employment prospects (Arulampalam, 2001; Mroz & Savage, 2006; Kahn, 2010). These consequences make youth unemployment more than a short-run macroeconomic statistic: it is an unequal transition from education to work, with implications for productivity, social mobility, and confidence in institutions.

The problem is especially complex in emerging economies. Young people may enter labor markets during rapid sectoral reallocation, internal migration, and demographic change, while employers alter tasks through automation and artificial intelligence. Higher enrolment in tertiary education does not itself resolve the transition problem. A qualification may signal learning, but a job match depends on whether capabilities, occupational expectations, location, information, and available tasks align. This distinction is central to research on overeducation, overskilling, and field-of-study mismatch (McGuinness et al., 2018).

Existing studies often focus on one determinant at a time, such as human capital, aggregate conditions, migration, population dynamics, or technology. Such evidence is valuable but does not explain how these domains jointly shape the gap between the skills supplied by young people and the skills, tasks, and locations demanded by jobs. This paper therefore asks: how can the multiple determinants of youth unemployment be organized around a coherent explanatory mechanism? It proposes skills mismatch as that mechanism and develops a conceptual model suitable for later empirical testing in Vietnam and comparable emerging-economy settings.

Theoretical Foundations and Conceptual Scope

Human Capital, Matching, and Task Reorganization

Human capital theory predicts that investment in education, training, and experience raises productivity and improves labor-market prospects (Schultz, 1961). For young people, however, labor-market readiness also includes transferable, digital, and work-based capabilities that make formal learning usable in a particular occupation. This broader view helps explain why an increase in qualifications can coexist with graduate unemployment.

Search and matching theory adds the institutional and informational side of the transition. Unemployment arises when workers and vacancies do not meet quickly or productively because search is costly and matches are heterogeneous (Mortensen & Pissarides, 1994). Skills mismatch is therefore not simply an individual deficit. It may reflect inaccurate employer signals, weak career guidance, field-of-study misalignment, spatial barriers, or a shortage of entry-level jobs.

Finally, task-based accounts of technological change show that technology can substitute for some tasks while complementing others. Automation is not equivalent to the disappearance of all work; its labor-market consequences depend on task content, organizational adoption, and the creation of new activities (Autor, 2015; Acemoglu & Restrepo, 2020). This perspective is

particularly relevant to youth because entry-level jobs can contain routinized tasks and because new technologies alter the competence profiles employers seek.

Defining The Constructs

Youth unemployment refers to the inability of people in the nationally defined youth age range to obtain paid work while being available for and seeking work. The model does not treat informal work, inactivity, and unemployment as interchangeable states; future empirical work should measure them separately. Skills mismatch is defined as a misalignment between a young person's skills, field, level, and location preferences and the capabilities, tasks, and location requirements of available work. It can appear as underqualification, overqualification, overskilling, underskilling, horizontal mismatch, or spatial mismatch (McGuinness et al., 2018).

Proposition Development

Labor-Market Readiness

Labor-market readiness combines relevant foundational knowledge, occupational and digital skills, career adaptability, and evidence of work-based learning. It is intentionally broader than years of education. Better readiness should reduce unemployment directly because it improves productivity signals and the ability to search, apply, and perform. It should also reduce mismatch by narrowing the distance between supplied and required capabilities. Accordingly:

P1. Higher labor-market readiness is associated with lower youth unemployment.

P6. Higher labor-market readiness is associated with lower skills mismatch.

Inclusive Economic Development

Economic growth lowers youth unemployment only when it generates accessible employment rather than capital-intensive or spatially concentrated output. Structural transformation can raise productivity and create better jobs, but rapid reallocation can also leave young workers trained for shrinking occupations. The relevant construct is therefore inclusive economic development: employment-creating growth coupled with sectoral pathways, regional access, and demand for skills that young people can credibly acquire. Productive structural change provides the underlying rationale (McMillan & Rodrik, 2011).

P2. More inclusive economic development is associated with lower youth unemployment.

P7. More inclusive economic development is associated with lower skills mismatch.

Migration Pressure

Migration can improve matching by moving workers toward opportunity. Yet high inflows into a limited set of urban labor markets may increase competition, congestion, housing constraints, and search frictions when job creation and placement services lag behind mobility. The construct used here is migration pressure, not migration per se: a local imbalance between the inflow of jobseekers and the absorptive capacity of employment and support institutions. This framing avoids treating migrants as the cause of unemployment and directs attention to local matching conditions.

P3. Greater migration pressure is associated with higher youth unemployment.

P8. Greater migration pressure is associated with higher skills mismatch.

Demographic Pressure

A large or rapidly growing youth cohort need not produce unemployment. A demographic dividend is possible when education, health, mobility, and labor demand expand together. Conversely, when new entrants grow faster than decent work and transition institutions, competition for first jobs increases. This paper therefore specifies demographic pressure as growth in the number of young labor-market entrants relative to the capacity of local labor markets to absorb them (Urdal, 2006).

P4. Greater demographic pressure is associated with higher youth unemployment.

P9. Greater demographic pressure is associated with higher skills mismatch.

Technological Replacement

Technological replacement refers to the substitution of digital systems, software, AI, or automation for tasks previously undertaken by people. Its effect on youth unemployment is conditional, not mechanically universal. Nevertheless, where entry-level work is concentrated in routine tasks and reskilling systems are weak, technological replacement may remove accessible job ladders faster than complementary tasks are created. It may also widen mismatch by changing employer requirements faster than curricula and credentials adjust (Frey & Osborne, 2017).

P5. Greater technological replacement is associated with higher youth unemployment where transition and reskilling institutions are weak.

P10. Greater technological replacement is associated with higher skills mismatch where transition and reskilling institutions are weak.

Skills Mismatch as the Proximal Mechanism

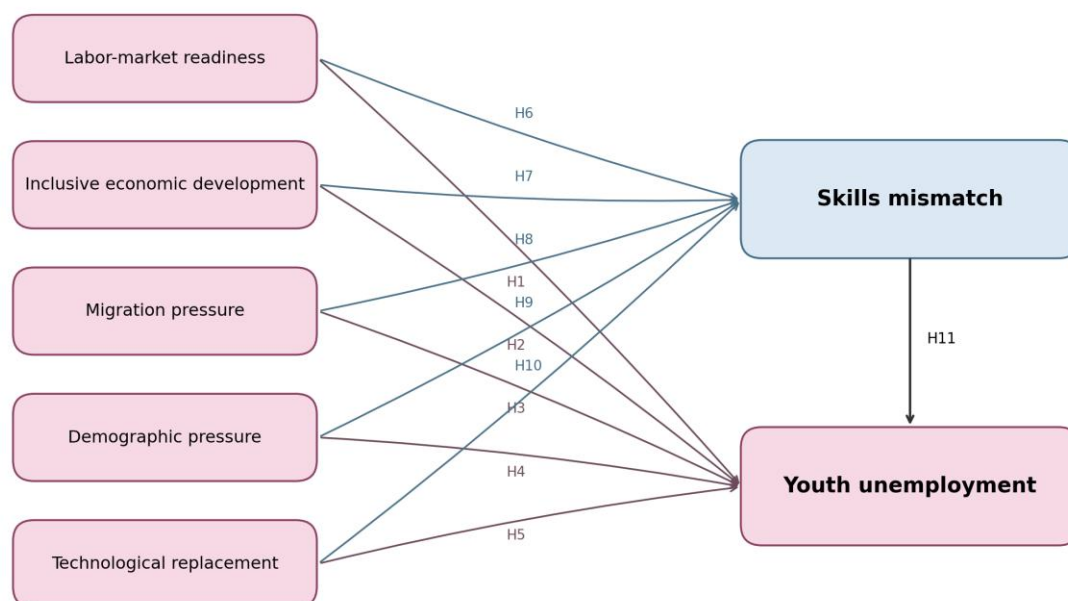
Skills mismatch lengthens job search, lowers the probability of a productive match, and can cause young people to exit into unemployment, inactivity, or precarious work. It is the mechanism through which individual readiness meets the structural conditions of labor demand. The model therefore proposes a direct relationship and a mediation logic rather than treating mismatch as another independent correlator.

P11. Higher skills mismatch is associated with higher youth unemployment.

P12. Skills mismatch mediates the relationships between labor-market readiness, inclusive economic development, migration pressure, demographic pressure, technological replacement, and youth unemployment.

Proposed Conceptual Model

Figure 1 presents the integrated framework. The model includes five antecedent domains, their direct associations with youth unemployment, and their indirect associations through skills mismatch. The signs are theoretically directional: labor-market readiness and inclusive economic development are expected to reduce mismatch and unemployment, while migration pressure, demographic pressure, and technological replacement are expected to increase them under the conditions stated above. The framework does not assert that all effects are identical across sectors, places, or youth subgroups.



H12: Skills mismatch mediates the relationships between the five antecedent domains and youth unemployment

Figure 1: Proposed Conceptual Model of Youth Unemployment. Source: Authors.

Research Agenda and Empirical Design

This is a conceptual paper; it reports no primary empirical results. The propositions should therefore be tested, not presented as established findings. A rigorous design should combine individual and contextual information. At the individual level, a survey of young people can measure employment status, education and field of study, work experience, digital and transferable skills, search behavior, perceived mismatch, and migration history. At the contextual level, province- or district-level indicators can capture sectoral employment growth, vacancy intensity, youth cohort size, urbanization, migration flows, and exposure to technological adoption.

A multi-level, longitudinal design would be stronger than a single cross-sectional SEM model because it separates individual readiness from local opportunity structures and better supports temporal ordering. Where a cross-sectional design is unavoidable, the study should label its estimates as associations, address common-method bias through procedural remedies and marker or latent-method approaches, and avoid causal language. Skills mismatch may be measured through both subjective self-assessments and objective indicators comparing field, qualification level, occupation, tasks, and skills. Triangulating these forms is preferable because each captures a different aspect of mismatch.

Future studies should also test heterogeneity. The relationships may differ by gender, rural-urban origin, education pathway, socioeconomic background, sector, and local labor-market conditions. Technology-related effects are likely to be strongest in occupations with a high routine-task share, whereas inclusive development may be most protective where employers offer structured entry routes. These boundary conditions are not peripheral details; they determine whether policy should prioritize curriculum reform, local job matching, regional investment, social protection, or technology-transition support.

Contributions and Policy Implications

The central contribution is theoretical integration. Rather than treating youth unemployment as the sum of independent predictors, the model specifies skills mismatch as a mechanism connecting personal readiness and changing labor-market structures. It also distinguishes conditions that are often conflated: education from readiness, economic growth from inclusive job creation, and migration from migration pressure. These distinctions permit sharper future measurement and reduce the risk of attributing structural problems to young people alone.

The policy implication is coordination. Education and vocational systems should embed work-based learning, career guidance, and transferable and digital skills. Public employment services should improve vacancy information, counseling, and matching for young migrants and first-time jobseekers. Regional development strategies should be assessed by the quality and accessibility of jobs created, not output alone. Finally, technology policy should pair adoption with transition support, reskilling, and employer incentives to redesign entry-level roles rather than simply remove them. These interventions target the mechanism in the model: preventing and correcting skills mismatch before it becomes persistent youth unemployment.

CONCLUSION

Youth unemployment is a transition problem produced through the interaction of individual capabilities and labor-market structures. This paper offers an integrated conceptual framework in which labor-market readiness, inclusive economic development, migration pressure, demographic pressure, and technological replacement affect youth unemployment directly and through skills mismatch. The model is deliberately proposition-led and should be viewed as a disciplined agenda for empirical inquiry, not as empirical proof. Its value lies in making the causal story to be tested explicit, identifying conditions under which expected relationships may change, and directing policy attention to match quality as well as job quantity.

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